Everyone Has Advice About Mom's Money: The First Three Things to Get Onto Paper

Three things to write down, in order, and what to leave for a professional.

Mom's care is being paid for from her accounts every month. One relative says all of it has to be spent before Medicaid can help. Another says to move it. You're the one writing the check.

Start here. Three things to get onto paper, in this order. None of them asks you to decide anything.

1 Write down the monthly picture

Take the latest bill from Mom's care provider and write three lines: what care costs each month, what comes in each month, and which account pays the difference. Put any extra charges on the bill on their own line, and list her income by source: Social Security, a pension, interest. Round numbers are fine. [1] [2]

WHY THIS COMES FIRST Anyone who helps you will ask these three things first, and a bill that arrives every month is easier to feel than to state.

2 Write down what you've been told, and who said it

“It all has to be spent.” “You should move it.” Write each one down the way you heard it, with who said it and when, and put a question mark after it. Medicaid programs vary from state to state, so a rule that held for a neighbor's family may not be the rule for Mom. [3]

WHY THIS COMES FIRST Once it's on paper with a name beside it, it's a question someone can check, and it stops being a rule that everyone repeats.

3 List the money decisions, made and being talked about

Repaying your brother for a bill he covered, a gift, selling the car, a new name on an account, a product someone suggested. Make two short lists, already done and being considered, with the date, the amount, the reason and who was involved. Put a question beside each one. Listing something doesn't mean it was a mistake. [4]

WHY THIS COMES FIRST These are the questions a professional will want to see together, and each one is a question before it is a decision.

What to leave for the conversation with a professional

- Which of Mom's assets Medicaid may count, and which it may not.
- Whether anything has to be spent, and on what.
- How long her money may last at what care costs now.
- Whether to give, move, sell or buy anything, and in what order.
- What any of it means for a Medicaid application. That depends on Mom's state and her situation, and your three pages are what make the conversation a good one.

If someone is asking for a decision now

A form to sign, a transfer, a product someone would like an answer about: if a money decision is asked of you before you've talked to anyone, it's reasonable to say you'd like a professional to look at it first. The Consumer Financial Protection Bureau's guide for people who manage a relative's money says to get legal advice and be very careful about decisions that may affect Medicaid eligibility. Bring the question to your Medicaid planner, and ask whether it also belongs with an elder law attorney or a licensed insurance or financial professional.

What this guide doesn't do

It doesn't interpret a bill or a rule, say what has to be spent, or decide anything about Mom's money, and it isn't a reason to change how her care is being paid for. Nothing in it is legal, financial or tax advice. It gets three things onto paper.

Ready for the next step?

You've put the monthly picture, what you've been told and the decisions on the table onto paper. The planning interview takes it from there: it asks about your family's situation and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

The note about extra charges on a care bill and the kinds of income to list follow the Administration for Community Living. The statement that Medicaid programs vary from state to state is Medicare.gov's. What to record about each money decision, and the advice to get legal advice first, follow the Consumer Financial Protection Bureau, whose guide is written for people acting under a power of attorney. The order is ours.

1. Administration for Community Living (LongTermCare.gov), Costs of Care
2. Administration for Community Living (LongTermCare.gov), Medicaid Eligibility
3. Medicare.gov (Centers for Medicare & Medicaid Services), How can I pay for nursing home care?
4. Consumer Financial Protection Bureau, Managing Someone Else's Money: Help for agents under a power of attorney